

INSTRUCTIONAL AREA
Financial Analysis

PRINCIPLES OF ENTREPRENEURSHIP

PARTICIPANT INSTRUCTIONS

(quoted directly from DECA, INC)

- "This event is presented to you through your review of the Career Competencies, Performance Indicators and Event Situation."
- "You have up to 10 minutes to review this information and prepare your presentation. Using the materials provided, you may make notes to use during your presentation."
- "You will have up to 10 minutes to present to the judge(s)."
- "You will be evaluated on your solution to the event situation, how you incorporate the performance indicators of this event and how you demonstrate the career competencies."
- "Turn in all your notes and event materials when you have completed the event."

SOLUTION

- Unique – Demonstrate original thinking, fresh perspectives and an insightful approach.
- Practical – Develop an actionable/viable solution in a real-world context.
- Effective – Develop a solution that achieves relevant outcomes.

CAREER COMPETENCIES

- Critical Thinking – Think critically to understand and solve problems.
- Communication – Communicate clearly, effectively and with reason.
- Decision Making – Consider the impacts of decisions.

PERFORMANCE INDICATORS

1. Explain the concept of accounting.
2. Discuss the role of ethics in finance.
3. Explain legal considerations for finance.
4. Describe the nature of balance sheets.

EVENT SITUATION

You are to assume the role of the owner of STITCH & SCRIPT, a custom embroidery shop that makes team uniforms, school spirit wear and corporate apparel. Your part-time bookkeeper (judge) has suggested changes to the financial statements before you meet with a potential investor next week.

The investor is interested in putting $40,000 into STITCH & SCRIPT so you can buy a second embroidery machine. The investor has asked to see your most recent financial statements.

To make the business “look stronger,” the bookkeeper (judge) suggests two changes:

- Count a $12,000 deposit from a school district as revenue this month, even though the order won’t be made or delivered until spring.
- Leave the $9,000 remaining balance on your current embroidery machine loan off the balance sheet, because “it’ll be paid off in a year anyway.”

The bookkeeper (judge) means well and doesn’t see the harm.

You will explain to the bookkeeper (judge) why you won’t make these changes and how you’ll present the business honestly and still make a strong case to the investor. The role-play takes place in the shop’s office. The bookkeeper (judge) will begin the role-play by asking about the financial statements. After you have explained and have answered the bookkeeper’s (judge’s) questions, the bookkeeper (judge) will conclude the role-play by thanking you for your work.

Possible Judge's Questions:

1. What could actually happen to us legally if the numbers aren't accurate?
2. What does the balance sheet tell the investor that the other statements don't?

	Rate the participant's ability to:	Novice	Developing	Proficient	Exemplary	Judged Score
PERFORMANCE INDICATORS						
1.	Explain the concept of accounting.	0-1-2-3	4-5-6-7	8-9-10-11	12	
2.	Discuss the role of ethics in finance.	0-1-2-3	4-5-6-7	8-9-10-11	12	
3.	Explain legal considerations for finance.	0-1-2-3	4-5-6-7	8-9-10-11	12	
4.	Describe the nature of balance sheets.	0-1-2-3	4-5-6-7	8-9-10-11	12	
SOLUTION						
4.	**Unique** Demonstrate original thinking, fresh perspectives and an insightful approach.	0-1-2	3-4-5	6-7	8	
5.	**Practical** Develop an actionable/viable solution in a real-world context.	0-1-2	3-4-5	6-7	8	
6.	**Effective** Develop a solution that achieves relevant outcomes	0-1-2	3-4-5	6-7	8	
CAEREER COMPETANCIES						
7.	**Critical Thinking** Think critically to understand and solve problems	0-1	2-3	4-5	6	
8.	**Communication** Communicate clearly, effectively and with reason.	0-1	2-3	4-5	6	
9.	**Decision Making** Consider the impacts of decisions.	0-1	2-3	4-5	6	
OVERALL IMPRESSIONS						
10.	Demonstrate overall career readiness through professionalism, poise and confidence.	0-1-2-3	4-5-6	7-8-9	10	
					TOTAL SCORE	